

MediaTek Inc.

Raising FY27 ASIC estimates, strong OP leverage to drive further EPS upgrades; stay OW with PT of NT \$5300

We raise Mediatek's FY27/28 EPS estimates by 8%/7% to reflect stronger ASIC momentum and better operating leverage and believe that the stock should see a meaningful move up in the next 6 months, helped by: (1) More clarity on TPUv9 Humufish ramp up, (2) Potential confirmation of a second customer in Space X, and (3) Increasing evidence in the supply chain that MediaTek could be the primary player in the TPUv10 generation. Google's strong Cloud revenue growth 80+% in 2Q26 led by TPUs and the potential launch of new Gemini models in 2H26 should provide further positive sentiment to the stock. While the market has been concerned about a potential move to a full-CoT model by Google for TPUv10, our checks indicate that the business model for v10 Icefish is likely to be quite similar to v9, with high-speed Serdes and Die-2-Die interconnect IP coming from MediaTek. In that regard, the company confirming that 448G Serdes IP is on track for commercialization in 2H27 is reassuring, in our view. In the near-term, smartphone revenues are still quite challenging, but MediaTek appears to be managing GMs well, through price increases and focusing on better product mix.

- Raising DC ASIC revenues further, to reflect upside in 2027 guide and stronger 2028 pipeline for TPUv9 Humufish:** MediaTek's first ASIC project (TPU v8t) is on track to ramp in 4Q26, and management has raised its 2027 DC ASIC revenue target from 10–15% of a \$70–80bn TAM to 15–20% of an \$80bn TAM, reflecting stronger demand and better visibility on secured components. Management also indicated smooth progress on the next generation (we believe TPU v9 Humufish), which is on track to ramp in early 2028—addressing investor concerns around EMIB-T yield (~60% currently at substrate level and ~90% at Chip on Substrate level, per our checks) as a potential obstacle. Furthermore, management expressed confidence in expanding share in v9 versus v8, implying potential upside to our current ~30% market share estimate for MediaTek in TPU in 2028. We raise our DC ASIC forecast to US\$2bn/\$15bn/\$43bn in 2026/27/28, based on 0.5mn/3+mn/4+mn TPU unit shipment estimates.
- TPUv10 Icefish progress appears strong, with IP readiness and attractive TCO leading to higher market share:** While still in the bidding process, we believe the TPU v10 Icefish decision will be made in the coming months. MediaTek's management has indicated that 448G SerDes IP will be commercially ready in 2H27, suggesting IP readiness will not be a constraint for MediaTek in winning the project (which will enter mass production in late 2029). In addition, MediaTek's semi-CoT model appears to offer an attractive TCO advantage versus Broadcom, pointing to a high likelihood of securing the project and even potential share expansion. Our checks indicate the business model will be similar to that of v8 and v9 (with high-speed Serdes and Die-2-Die interconnect IP coming from MediaTek), implying ASPs could see a modest increase vs. TPUv9 Humufish (contrary to some market concerns about ASP erosion).

- Will MediaTek lose \$ content in TPU v10 as CoT model progresses? We**

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 13 for analyst certification and important disclosures, including non-US analyst disclosures.

Overweight

2454.TW, 2454.TT
Price (31 Jul 26): NT\$3,555.00
Price Target (Jun-27): NT\$5,300.00

Technology and Telecoms

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (NT\$)	128.04	137.95	7.7%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	18.31	15.07A	27.26
Q2	17.39	15.17A	33.36
Q3	15.72	15.36	36.95
Q4	14.29	25.55	40.37
FY	65.71	71.15	137.95

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	52	34	29	8	23
Growth	42	55	50	53	20
Momentum	21	53	35	74	25
Quality	39	20	22	45	62
Low Vol	59	48	56	66	68
ESGQ	15	28	19	12	8

Price Performance



	YTD	1m	3m	12m
Abs	148.6%	-16.2%	36.2%	159.5%
Rel	99.7%	-9.7%	25.4%	76.3%

Company Data

Shares O/S (mn)	1,599
52-week range (NT\$)	4,970.00-1,130.00
Market cap (\$ mn)	175,939
Exchange rate	32.31
Free float (%)	86.2%
3M ADV (mn)	12.28
3M ADV (\$ mn)	1,503.7
Volatility (90 Day)	82
Index	TAIEX
BBG ANR (Buy Hold Sell)	29 2 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	595,966	669,139	1,064,855	1,975,068
Adj. EBIT	103,470	108,821	232,322	521,586
Adj. EBITDA	116,806	123,233	248,381	538,992
Adj. net income	105,319	114,117	221,255	476,180
Adj. EPS	65.71	71.15	137.95	296.89
BBG EPS	66.45	67.15	135.12	274.23
Cashflow from operations	141,195	921	180,166	235,140
FCFF	115,710	(22,781)	162,996	216,646
Margins and Growth				
Revenue Growth Y/Y (%)	12.3%	12.3%	59.1%	85.5%
EBIT margin	17.4%	16.3%	21.8%	26.4%
EBIT Growth Y/Y (%)	1.0%	5.2%	113.5%	124.5%
EBITDA margin	19.6%	18.4%	23.3%	27.3%
EBITDA Growth Y/Y (%)	1.6%	5.5%	101.6%	117.0%
Net margin	17.7%	17.1%	20.8%	24.1%
Adj. EPS growth	(1.1%)	8.3%	93.9%	115.2%
Ratios				
Adj. tax rate	15.0%	10.8%	12.4%	12.3%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	26.4%	26.9%	43.3%	65.7%
Valuation				
FCFF yield	2.0%	(0.4%)	2.9%	3.8%
Dividend yield	1.5%	1.5%	1.6%	3.1%
EV/Revenue	9.4	8.2	5.2	2.8
EV/EBITDA	48.0	44.7	22.1	10.2
Adj. P/E	54.1	50.0	25.8	12.0

Summary Investment Thesis and Valuation

Investment Thesis

We are Overweight on MediaTek, given stronger ASIC momentum and better operating leverage. We believe that the stock should see a meaningful move up in the next 6 months, helped by (1) More clarity on TPUv9 Humufish ramp up, (2) Potential confirmation of a second customer in Space X, and (3) Increasing evidence in the supply chain that MediaTek could be the primary player in the TPUv10 generation. Moreover, Google's strong Cloud revenue growth 80+% in 2Q26 led by TPUs and the potential launch of new Gemini models in 2H26 should provide further positive sentiment to the stock. In the near-term smartphone revenues are still quite challenging, but MediaTek appears to be managing GMs well, through price increases and focusing on a better product mix.

Valuation

Our Jun-27 PT of NT\$5300 is based on a SoTP valuation (8x 12M fwd core earnings + 30x 12M fwd ASIC-related earnings, reflecting sluggish smartphone demand and the recent correction in market sentiment), reflecting stronger growth in 2028 for TPU v9 Humufish.

Performance Drivers

Market	44%
Region	3%
Macro	6%
Style	6%
Idiosyn.	41%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.72	0.66
Region: Taiwan	0.20	0.23
Macro:		
Markit EM Composite PMI SA	0.24	0.21
Emerging Central Bank Rate	0.16	0.20
Generic 1st 'CO' Future	-0.24	-0.19
Quant Styles:		
Size	0.29	0.13
Growth	0.20	0.09
Momentum	-0.06	-0.09

don't think so: Given recent positive commentary from pure design-service vendors such as GUC and Alchip, there has been some concern in the market that TPUv10 will come to a more advanced CoT model, where MediaTek will lose significant \$ content per Chip, vs. v9 Humufish. First, the project is still in RFQ stage, implying that several competing proposals are being floated, and should see a conclusion by end 2026. Our checks indicate that the business model for v10 Icefish is likely to remain largely similar to the TPUv9 Humufish, with High-Speed Serdes, I/O Dies and Die-to-Die interconnect IP, as well as packaging design and full-chip implementation coming from MediaTek, while the Compute die design is likely to be largely handled by Google's in-house design team. Only variable is likely to be for the Compute die back-end design, which may be outsourced to pure design-service vendors like Alchip / GUC for certain SKUs, although this is not yet crystallized based on our checks. All said, we believe that MediaTek's dollar content per chip is likely to still rise modestly in v10, with the chance to secure majority market share—implying overall revenues still growing materially from the v9 generation.

- **Operating leverage from ASIC ramp could be understated, given stable 40+% GMs and limited incremental OPEX increases:** One of the key upsides for MediaTek earnings is the operating leverage from the ASIC ramp, which may prove stronger than expectations. While ASIC GMs are likely slightly below the corporate average (we estimate still above 40%), operating profit contribution should be strongly accretive, given limited incremental opex post-ramp (mostly R&D expenses, which we do not expect to fluctuate materially), while variable OPEX is likely to be small (some IP Licensing and royalties, and warranty provisions). DC ASIC could reach ~11%/45%/70% of company revenue in 2026/27/28, driving meaningful OPM expansion to 16%/22%/26% in 2026/27/28.
- **New datacenter ASIC customer likely to be confirmed before end-2026; expanding business model to sub-systems/ rack-level design for new customers:** While limited detail was provided on the earnings call, we believe MediaTek is making solid progress on new customer RFQs, with one getting close to a potential win (we believe SpaceX). We expect confirmation before end-2026. While meaningful revenue contribution is still distant (likely late 2028 or beyond), we see this as a share price catalyst, easing concerns around single-customer concentration in the ASIC business. Meanwhile, MediaTek is expanding its business model toward sub-system and rack-level design to offer more complete solutions. Though the exact model and value-share remain at an early stage, over the longer term, this could strengthen its competitive positioning in winning new programs.
- **Smartphones remain weak as expected, but GMs holding up better, despite cost pressures:** The smartphone segment remains weak, with a potential sequential decline in 3Q despite flagship launches. This is largely in line with our view of further deterioration into 2H given some pull in seen in 1H on the expectation of a continued rise in memory prices. GMs, however, are holding up better than feared despite decreasing scale and rising cost pressures (foundry, OSAT, substrate). MediaTek's planned 2H price increase should help mitigate some of the pressure, supporting stable margins in late 2026 and early 2027. That said, we do not expect margin expansion in the core business from price hikes alone, given still-lackluster end demand. Overall, we expect margins to stabilize at the 44–46% level in coming quarters, also factoring in dilution from the ASIC ramp.

Table 1: MediaTek: SoTP Valuation

NT\$/x		
NT\$ / x	2027E	2028E
Core business		
Core earnings per share	53	51
Core PE multiple		8x
Core business value per share		416
DC ASIC business		
DC ASIC earnings per share	85	246
DC ASIC PE multiple		30x
DC ASIC business value per share		4879
MediaTek Jun-27 SoTP		5,300

Source: J.P. Morgan estimates.

Table 2: MediaTek: DC ASIC Key Assumptions

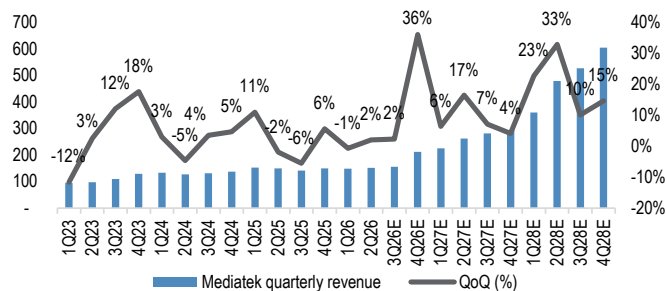
	2026E	2027E	2028E
ASIC Revenue (US\$mn)	2,252	15,097	43,349
TPU v8 Zebrafish			
Units (mn)	0.5	3.3	1.3
ASP (US\$)	4,250	4,500	4,000
Revenue (US\$mn)	2,125	14,963	5,200
TPU v9 Humufish			
Units (mn)	-	-	3.0
ASP(US\$)	-	-	12,667
Revenue (US\$mn)	-	-	38,000
Other Enterprise ASIC			
Revenue (US\$mn)	114	135	149

J.P. Morgan estimates.

Key charts

Figure 1: MediaTek – Quarterly revenue and qoq

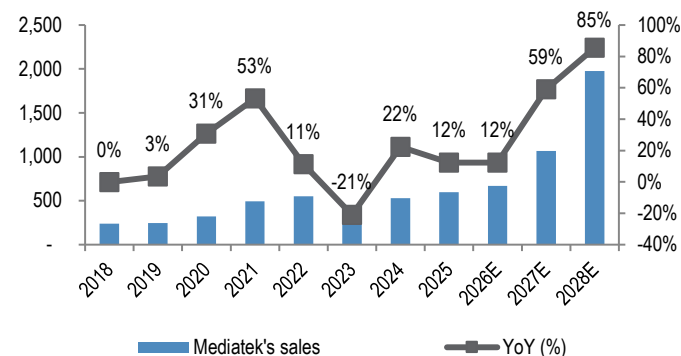
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Figure 2: MediaTek – Annual revenue and yoy

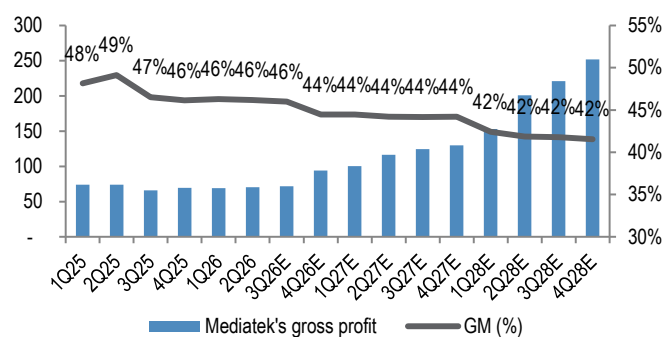
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Figure 3: MediaTek – Gross profit and GM (quarterly)

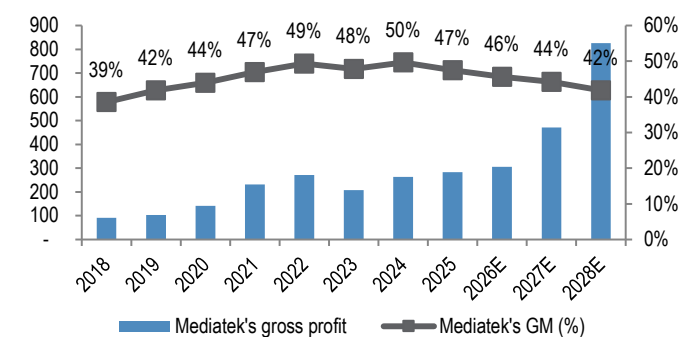
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Figure 4: MediaTek – Gross profit and GM (annual)

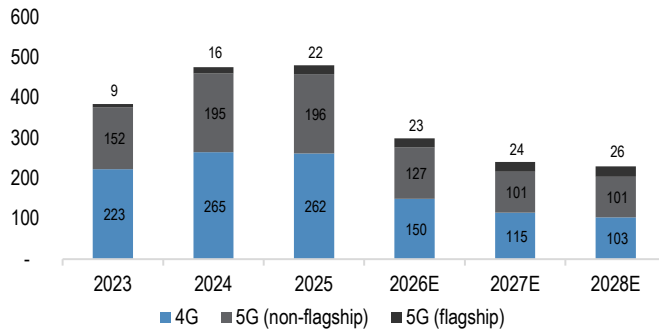
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Figure 5: MediaTek – Smartphone shipment breakdown

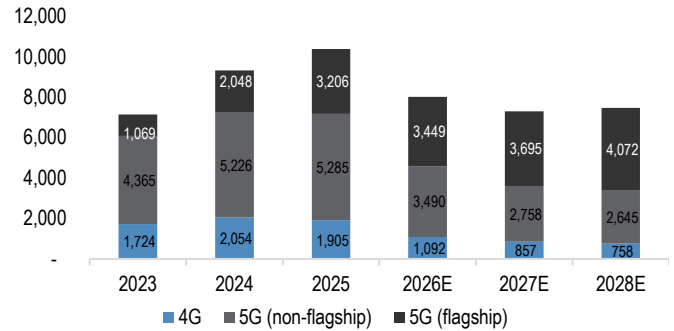
Units in millions



Source: Company data, J.P. Morgan estimates.

Figure 6: MediaTek – Smartphone revenue breakdown

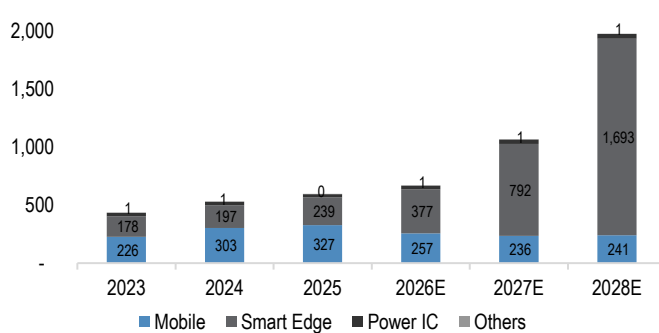
US\$ in millions



Source: Company data, J.P. Morgan estimates.

Figure 7: MediaTek – Revenue by segment

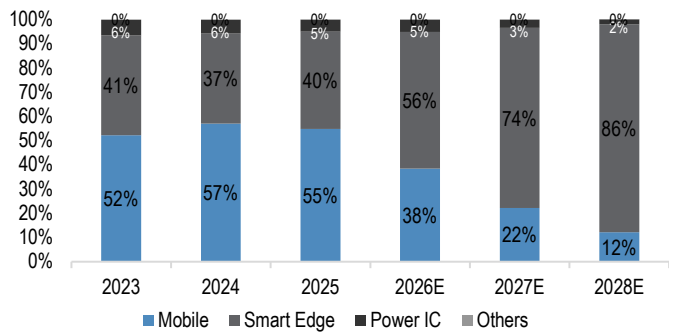
NT\$ in billions



Source: Company data, J.P. Morgan estimates.

Figure 8: MediaTek – Revenue mix by segment

%



Source: Company data, J.P. Morgan estimates.

Earnings review

Table 3: Mediatek – 2Q26 earnings review

NT\$ million	2Q26			Variance		Growth	
	Actual	JPM	BBG est.	vs. JPM	vs. Consensus	Q/Q	Y/Y
Revenues	152,183	152,183	146,685	0%	4%	2%	1%
Gross profit	70,308	69,881	67,710	1%	4%	2%	-5%
<i>GM (%)</i>	<i>46.2%</i>	<i>45.9%</i>	<i>46.2%</i>	<i>28 bps</i>	<i>4 bps</i>	<i>-10 bps</i>	<i>-293 bps</i>
Operating profit	22,868	22,276	21,917	3%	4%	-0%	-22%
<i>OPM (%)</i>	<i>15.0%</i>	<i>14.6%</i>	<i>14.9%</i>	<i>39 bps</i>	<i>8 bps</i>	<i>-32 bps</i>	<i>-451 bps</i>
Pre-tax Profit	27,962	26,803	26,191	4%	7%	3%	-16%
<i>Pre-tax Margin (%)</i>	<i>18.4%</i>	<i>17.6%</i>	<i>17.9%</i>	<i>76 bps</i>	<i>52 bps</i>	<i>26 bps</i>	<i>-372 bps</i>
Net profit	24,605	22,782	22,429	8%	10%	2%	-12%
<i>Net Margin (%)</i>	<i>16.2%</i>	<i>15.0%</i>	<i>15.3%</i>	<i>120 bps</i>	<i>88 bps</i>	<i>-4 bps</i>	<i>-235 bps</i>
EPS (NT\$)	15.34	14.20	13.98	8%	10%	2%	-12%

Source: J.P. Morgan estimates.Bloomberg Finance L.P.

Estimate revisions

Table 4: MediaTek – Quarterly estimate revisions

NT\$ million	Revised			Prior			Change (%)		
	3Q26E	4Q26E	1Q27E	3Q26E	4Q26E	1Q27E	3Q26E	4Q26E	1Q27E
Revenues	155,737	212,068	225,806	156,635	225,094	218,820	-1%	-6%	3%
Gross profit	71,646	94,294	100,438	71,358	99,985	98,797	0%	-6%	2%
<i>GM (%)</i>	<i>46.0%</i>	<i>44.5%</i>	<i>44.5%</i>	<i>45.6%</i>	<i>44.4%</i>	<i>45.1%</i>	<i>45bps</i>	<i>4bps</i>	<i>-67bps</i>
Operating profit	22,847	40,215	45,712	22,130	41,705	43,123	3%	-4%	6%
<i>OPM (%)</i>	<i>14.7%</i>	<i>19.0%</i>	<i>20.2%</i>	<i>14.1%</i>	<i>18.5%</i>	<i>19.7%</i>	<i>54bps</i>	<i>44bps</i>	<i>54bps</i>
Net profit	24,631	40,980	43,725	23,789	41,616	41,228	4%	-2%	6%
EPS (NT\$)	15.36	25.55	27.26	14.83	25.95	25.70	4%	-2%	6%
EPS ex one off disposals (NT\$)	15.36	25.55	27.26	14.83	25.95	25.70	4%	-2%	6%
Smartphone Shipment (mn units)	67	63	60	84	80	76	-19%	-21%	-21%
4G	33	31	30	44	41	39	-24%	-24%	-24%
5G	35	32	30	40	39	37	-14%	-18%	-18%
Smartphone ASP (US\$)	28.6	29.3	29.1	26.4	29.5	28.9	8%	-1%	1%
Mobile revenue	62,139	59,373	56,198	70,454	75,133	70,024	-12%	-21%	-20%
Smart Edge revenue	84,898	143,523	160,887	77,489	140,817	140,098	10%	2%	15%
Power IC revenue	8,544	9,015	8,564	8,444	8,897	8,452	1%	1%	1%

Source: J.P. Morgan estimates.

Table 5: MediaTek – Annual estimate revisions

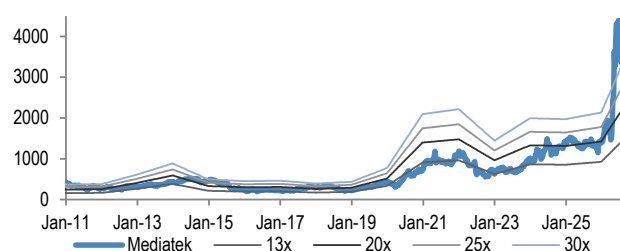
NT\$ million	Revised			Prior			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	669,139	1,064,855	1,975,068	683,062	1,044,079	1,991,105	-2%	2%	-1%
Gross profit	305,303	471,216	826,425	310,279	468,893	843,278	-2%	0%	-2%
GM (%)	45.6%	44.3%	41.8%	45.4%	44.9%	42.4%	20bps	-66bps	-51bps
Operating profit	108,821	232,322	521,586	109,001	216,566	489,694	-0%	7%	7%
OPM (%)	16.3%	21.8%	26.4%	16.0%	20.7%	24.6%	31bps	107bps	181bps
Net profit	114,117	221,255	476,180	112,360	205,368	445,639	2%	8%	7%
EPS (NT\$)	71.15	137.95	296.89	70.05	128.04	277.85	2%	8%	7%
EPS ex one off disposals (NT\$)	71.15	137.95	296.89	70.05	128.04	277.85	2%	8%	7%
Smartphone Shipment (mn units)	299	240	230	345	306	294	-13%	-21%	-22%
4G	150	115	103	180	153	137	-17%	-24%	-24%
5G	150	125	127	165	153	157	-9%	-18%	-19%
Smartphone ASP (US\$)	26.8	30.4	32.5	26.1	30.3	33.1	3%	0%	-2%
Mobile revenue	257,441	235,623	240,718	287,050	295,044	308,423	-10%	-20%	-22%
Smart Edge revenue	377,246	791,841	1,693,301	362,129	711,748	1,641,792	4%	11%	3%
Power IC revenue	33,762	36,725	40,313	32,932	36,238	39,734	3%	1%	1%

Source: J.P. Morgan estimates.

P/E and P/BV charts

Figure 9: MediaTek – 12-month forward P/E

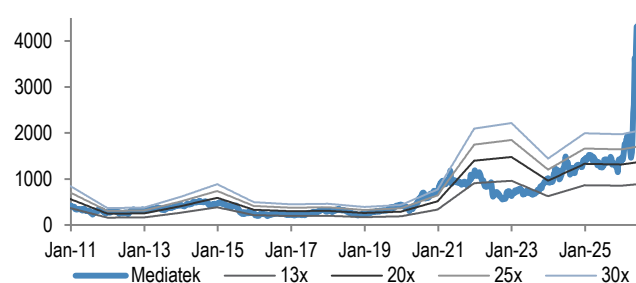
NT\$, x



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 10: MediaTek – 12-month trailing P/E

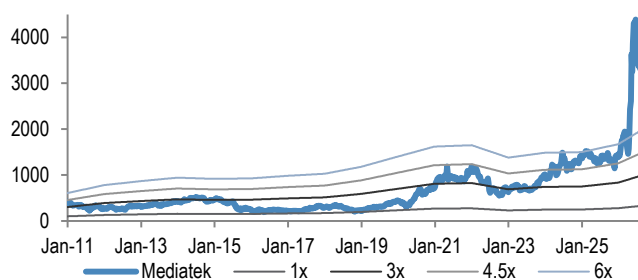
NT\$, x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 11: MediaTek – 12-month forward P/BV

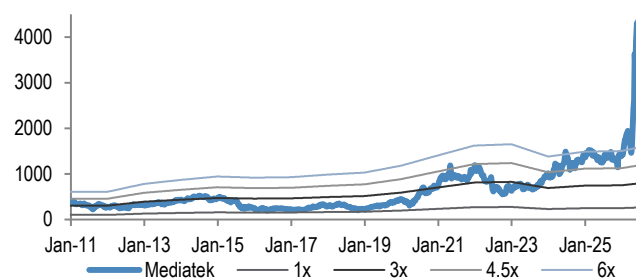
NT\$, x



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 12: MediaTek – 12-month trailing P/BV

NT\$, x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Table 6: MediaTek – Financials

NT\$ millions, year-end Dec.	2025				2026E				2027E				2028E				2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	153,312	150,369	142,097	150,188	149,151	152,183	155,737	212,068	225,806	263,128	282,022	293,899	360,848	479,782	528,289	606,149	595,966	669,139	1,064,855	1,975,068
COGS	79,503	76,491	75,985	80,907	80,095	81,875	84,091	117,775	125,367	146,767	157,487	164,018	207,843	278,943	307,510	354,346	312,886	363,836	593,639	1,148,642
Gross profit	73,809	73,878	66,112	69,281	69,055	70,308	71,646	94,294	100,438	116,362	124,535	129,880	153,004	200,839	220,778	251,804	283,080	305,303	471,216	826,425
R&D expenses	35,782	36,923	36,353	39,248	38,345	39,361	40,487	44,868	45,406	48,616	51,429	52,756	56,274	59,778	65,956	70,911	148,306	163,061	198,206	252,920
Operating income	30,053	29,379	22,188	21,850	22,891	22,868	22,847	40,215	45,712	57,766	62,549	66,294	85,178	128,789	141,283	166,336	103,470	108,821	232,322	521,586
Pre-tax profit	34,553	33,228	29,960	27,147	27,019	27,962	27,990	45,533	50,259	62,953	67,346	71,951	90,759	133,593	146,372	172,064	124,888	128,503	252,508	542,789
Net profit (Reported)	29,325	27,848	25,221	22,925	24,172	24,335	24,631	40,980	43,725	53,510	59,264	64,756	78,961	113,554	128,808	154,858	105,319	114,117	221,255	476,180
New Taiwan GAAP EPS (NT\$)	18.3	17.4	15.7	14.3	15.1	15.2	15.4	25.6	27.3	33.4	37.0	40.4	49.2	70.8	80.3	96.6	65.7	71.1	137.9	296.9
Shipment units (millions)																				
Feature Phone	18	17	16	16	15	13	12	11	11	11	11	10	10	10	10	9	66	52	43	39
Smartphone	129	121	113	117	94	75	67	63	60	60	61	59	56	57	59	58	480	299	240	230
4G	71	66	62	62	49	37	33	31	30	29	29	28	27	26	26	25	262	150	115	103
5G	58	55	51	55	46	38	35	32	30	31	32	32	30	31	34	33	218	150	125	127
Total Handset	147	138	129	132	109	88	80	74	71	71	72	70	66	67	69	67	546	351	283	269
Chromebook/Tablet	15	17	16	15	17	16	15	13	12	12	12	12	11	11	11	11	63	61	48	44
ASP (US\$)																				
Feature Phone	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Smartphone	20.0	20.7	21.9	24.2	24.4	26.3	28.6	29.3	29.1	29.4	30.5	32.6	31.7	31.7	32.9	33.6	21.7	26.8	30.4	32.5
4G	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.5	7.5	7.4	7.4	7.4	7.4	7.3	7.3	7.3	7.3	7.3	7.4	7.3
5G	35.8	37.0	39.9	43.2	42.7	44.7	48.9	50.8	50.6	50.2	50.9	55.0	53.6	52.4	52.2	53.7	38.9	46.3	51.7	53.0
Total Handset	17.8	18.3	19.3	21.5	21.2	22.5	24.3	25.0	24.7	25.1	26.1	28.0	27.1	27.2	28.5	29.2	19.2	23.0	26.0	28.0
Chromebook/Tablet	8.1	8.1	8.1	8.1	9.0	9.0	10.0	10.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0	8.1	9.5	11.0	11.0
Revenue Breakdown (%)																				
Mobile	56%	52%	53%	59%	49%	41%	40%	28%	25%	22%	21%	21%	16%	12%	12%	10%	0%	0%	0%	0%
Smart Edge	39%	43%	42%	37%	46%	53%	55%	68%	71%	75%	75%	75%	81%	86%	86%	88%	0%	0%	0%	0%
PMIC	5%	6%	5%	4%	5%	6%	5%	4%	4%	3%	3%	3%	3%	2%	2%	2%	0%	0%	0%	0%
Others	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Margins (%)																				
Gross margin	48.1	49.1	46.5	46.1	46.3	46.2	46.0	44.5	44.5	44.2	44.2	44.2	42.4	41.9	41.8	41.5	47.5	45.6	44.3	41.8
Operating margin	19.6	19.5	15.6	14.5	15.3	15.0	14.7	19.0	20.2	22.0	22.2	22.6	23.6	26.8	26.7	27.4	17.4	16.3	21.8	26.4
Pre-tax margin	22.5	22.1	21.1	18.1	18.1	18.4	18.0	21.5	22.3	23.9	23.9	24.5	25.2	27.8	27.7	28.4	21.0	19.2	23.7	27.5
New Taiwan GAAP net margin	19.1	18.5	17.7	15.3	16.2	16.0	15.8	19.3	19.4	20.3	21.0	22.0	21.9	23.7	24.4	25.5	17.7	17.1	20.8	24.1
Sequential Growth (%)																				
Revenue	11	-2	-6	6	-1	2	2	36	6	17	7	4	23	33	10	15	12	12	59	85
Gross profit	10	0	-11	5	0	2	2	32	7	16	7	4	18	31	10	14	7	8	54	75
Operating income	40	-2	-24	-2	5	0	0	76	14	26	8	6	28	51	10	18	1	5	113	125
Net profit	23	-5	-9	-9	5	1	1	66	7	22	11	9	22	44	13	20	-1	8	94	115
New Taiwan GAAP EPS	23	-5	-10	-9	5	1	1	66	7	22	11	9	22	44	13	20	-1	8	94	115

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

MediaTek Inc. *(Overweight; Price Target: NT\$5,300.00)*

Investment Thesis

We are Overweight on MediaTek, given stronger ASIC momentum and better operating leverage. We believe that the stock should see a meaningful move up in the next 6 months, helped by (1) More clarity on TPUv9 Humufish ramp up, (2) Potential confirmation of a second customer in Space X, and (3) Increasing evidence in the supply chain that MediaTek could be the primary player in the TPUv10 generation. Moreover, Google's strong Cloud revenue growth 80+% in 2Q26 led by TPUs and the potential launch of new Gemini models in 2H26 should provide further positive sentiment to the stock. In the near-term smartphone revenues are still quite challenging, but MediaTek appears to be managing GMs well, through price increases and focusing on a better product mix.

Valuation

Our Jun-27 PT of NT\$5300 is based on a SoTP valuation (8x 12M fwd core earnings + 30x 12M fwd ASIC-related earnings, reflecting sluggish smartphone demand and the recent correction in market sentiment), reflecting stronger growth in 2028 for TPU v9 Humufish.

Risks to Rating and Price Target

Key downside risks include: (1) further pressure on Smartphone SoC GMs due to cost escalations and increased competition; and (2) slower progress on the NVDA partnership, given NVDA's expanded engagement with Intel and other chip makers.

MediaTek Inc.: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25A	FY26E	FY27E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	433,446	530,586	595,966	669,139	1,064,855	Revenue	149,151	152,183	155,737	212,068	
COGS	(226,079)	(267,200)	(312,886)	(363,836)	(593,639)	COGS	(80,095)	(81,875)	(84,091)	(117,775)	
Gross profit	207,367	263,386	283,080	305,303	471,216	Gross profit	69,055	70,308	71,646	94,294	
SG&A	(24,183)	(28,981)	(31,304)	(33,421)	(40,688)	SG&A	(7,819)	(8,080)	(8,311)	(9,211)	
Adj. EBITDA	82,801	114,972	116,806	123,233	248,381	Adj. EBITDA	26,239	26,397	26,596	44,001	
D&A	(11,001)	(12,560)	(13,336)	(14,412)	(16,059)	D&A	(3,349)	(3,529)	(3,749)	(3,786)	
Adj. EBIT	71,800	102,412	103,470	108,821	232,322	Adj. EBIT	22,891	22,868	22,847	40,215	
Net Interest	6,908	10,696	10,167	8,486	7,681	Net Interest	2,311	1,968	2,016	2,192	
Adj. PBT	86,782	119,519	124,888	128,503	252,508	Adj. PBT	27,019	27,962	27,990	45,533	
Tax	(9,591)	(12,378)	(18,770)	(13,912)	(31,253)	Tax	(2,643)	(3,357)	(3,359)	(4,553)	
Minority Interest	(212)	(754)	(798)	(474)	0	Minority Interest	(204)	(270)	0	0	
Adj. Net Income	76,979	106,386	105,319	114,117	221,255	Adj. Net Income	24,172	24,335	24,631	40,980	
Reported EPS	48.12	66.47	65.71	71.15	137.95	Reported EPS	15.07	15.17	15.36	25.55	
Adj. EPS	48.12	66.47	65.71	71.15	137.95	Adj. EPS	15.07	15.17	15.36	25.55	
DPS	76.00	54.97	53.96	53.19	57.63						
Payout ratio	102.9%	114.2%	81.2%	80.9%	81.0%						
Shares outstanding	1,600	1,601	1,603	1,604	1,604	Shares outstanding	1,604	1,604	1,604	1,604	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25A	FY26E	FY27E		FY23A	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	180,673	219,624	247,709	139,791	211,083	Gross margin	47.8%	49.6%	47.5%	45.6%	44.3%
Accounts receivable	60,641	51,770	68,597	118,526	164,261	EBITDA margin	19.1%	21.7%	19.6%	18.4%	23.3%
Inventories	43,220	58,414	67,235	161,105	201,706	EBIT margin	16.6%	19.3%	17.4%	16.3%	21.8%
Other current assets	6,354	21,217	13,916	23,200	23,200	Net profit margin	17.8%	20.1%	17.7%	17.1%	20.8%
Current assets	290,889	351,025	397,456	442,622	600,250						
PP&E	53,291	56,917	60,427	62,151	56,531	ROE	19.0%	27.8%	26.4%	26.9%	43.3%
LT investments	152,228	172,525	171,501	184,064	190,064	ROA	12.4%	16.0%	14.6%	14.5%	24.3%
Other non current assets	138,631	117,400	114,400	142,693	142,693	ROCE	15.4%	23.3%	21.4%	22.0%	38.1%
Total assets	635,038	697,868	743,785	831,529	989,538	SG&A/Sales	5.6%	5.5%	5.3%	5.0%	3.8%
						Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	7,826	8,919	4,481	17,100	17,100	P/E (x)	73.9	53.5	54.1	50.0	25.8
Payables	38,779	40,777	48,710	72,453	101,642	P/BV (x)	15.4	14.3	14.2	12.8	9.9
Other short term liabilities	185,394	217,207	250,159	251,891	251,891	EV/EBITDA (x)	67.1	48.5	48.0	44.7	22.1
Current liabilities	231,999	266,902	303,350	341,444	370,633	Dividend Yield	2.1%	1.5%	1.5%	1.5%	1.6%
Long-term debt	4,605	2,681	6,795	6,305	6,305						
Other long term liabilities	24,229	23,228	24,444	28,183	28,183	Sales/Assets (x)	0.7	0.8	0.8	0.8	1.2
Total liabilities	260,833	292,812	334,590	375,932	405,121	Interest cover (x)	NM	NM	NM	NM	NM
Shareholders' equity	368,206	396,627	400,601	447,146	575,966	Operating leverage	206.3%	190.2%	8.4%	42.1%	191.9%
Minority interests	6,000	8,428	8,594	8,451	8,451						
Total liabilities & equity	635,038	697,868	743,785	831,529	989,538	Revenue y/y Growth	(21.0%)	22.4%	12.3%	12.3%	59.1%
BVPS	230.18	247.95	250.12	278.79	359.10	EBITDA y/y Growth	(39.1%)	38.9%	1.6%	5.5%	101.6%
y/y Growth	(16.3%)	7.7%	0.9%	11.5%	28.8%	Tax rate	11.1%	10.4%	15.0%	10.8%	12.4%
Net debt/(cash)	(168,242)	(208,023)	(236,433)	(116,387)	(187,678)	Adj. Net Income y/y Growth	(34.8%)	38.2%	(1.0%)	8.4%	93.9%
						EPS y/y Growth	(34.9%)	38.1%	(1.1%)	8.3%	93.9%
						DPS y/y Growth	4.1%	(27.7%)	(1.8%)	(1.4%)	8.4%
Cash flow from operating activities	199,780	131,571	141,195	921	180,166						
o/w Depreciation & amortization	11,001	12,560	13,336	14,412	16,059						
o/w Changes in working capital	111,800	12,624	22,540	(127,608)	(57,149)						
Cash flow from investing activities	(44,405)	(15,253)	(12,822)	(56,991)	(16,439)						
o/w Capital expenditure	(10,431)	(16,186)	(16,846)	(16,135)	(10,439)						
as % of sales	2.4%	3.1%	2.8%	2.4%	1.0%						
Cash flow from financing activities	(139,511)	(77,368)	(100,288)	(51,848)	(92,435)						
o/w Dividends paid	(121,574)	(87,979)	(86,491)	(88,877)	(92,435)						
o/w Net debt issued/(repaid)	6,321	(1,831)	892	15,867	-						
Net change in cash	15,864	38,951	28,085	(107,918)	71,291						
Adj. Free cash flow to firm	183,204	105,796	115,710	(22,781)	162,996						
y/y Growth	85.0%	(42.3%)	9.4%	(119.7%)	(815.5%)						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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MediaTek Inc. (2454.TW, 2454 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 22, 2001. All share prices are as of market close on the previous business day.

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